

24 Aug 2026 13:44:50 ET | 12 pages

Shenzhen Envicool Technology (002837.SZ)

2Q26 Results Miss Again, the Fourth Quarterly Results Miss In A Row

CITI'S TAKE

Envicool posted 2Q26 results, which came largely in line with our forecast but below the Street estimate. This is the fourth consecutive quarterly results missed since 3Q25. Envicool posted 1H26 rev of Rmb3.017bn, up 17.2% yoy, but attributable NP fell 14.3% to Rmb185m (core NP -13.2% to Rmb175mn). Note Citi EPS forecasts are 26% / 47% / 56% below VA consensus forecasts during 2026E/ 27E/ 28E respectively. So, we believe there is still ample room for the Street estimate to be revised down. Per 1H26 balance sheet, the inventory increased by 58% yoy to Rmb1.552bn, which implies acceleration of revenue growth in 3Q26 but which is largely in line with our projection. We **reiterate Sell** on stretched valuation and earnings downside risk on severe GM pressure on domestic business.

2Q26 results miss is in line with our expectation – due to no release of preliminary results earlier. Click here for details: [Shenzhen Envicool Technology \(002837.SZ\) – Expectation of Another 2Q26 Results Miss; Sell](#).

Domestic GM remains under pressure – Domestic GM fell 2.06pt yoy to 20.9%, breaching the prior 9-year low of 23.0% set in 1H25. Overseas GM was still higher at 48.2% but also contracted significantly by 6.24pt on yoy. The % of overseas sales increased to 14.7% up from 10.1% a year ago. Finance expense swung Rmb39mn yoy on FX losses and higher interest, nearly matching the full NP decline. OCF improved to +Rmb62mn from -Rmb234mn on stronger customer collections, which is the only positive surprise in the results. Another bright spot is the increase of inventory by 58% yoy to Rmb1,552mn, which would imply an acceleration of rev growth in 3Q compared with merely 17% only in 2Q.

Domestic GM squeeze deepens across both room and cabinet cooling – Room cooling (56% of 1H26 rev) grew 25.8% yoy to Rmb1,700mn but GM contracted 2.49pt to 23.3%. Cabinet cooling (35% of 1H26 rev, mostly ESS) grew 15.3% to Rmb1,068mn with GM down 1.32pt to 26.8% on unfavorable ESS regional mix. Neither segment shows margin resilience from this results.

Overseas mix keeps widening but can't offset domestic drag – Overseas rev grew 71.4% yoy to Rmb444mn, lifting the mix to 14.7% from 10.1%. That said, overseas GM compressed 6.24pt to 48.2%, which is worse than our forecast as overseas GM was quite resilient per the last 10-year track record. At under 15% of group rev, overseas remains too small to move the blended GM, keeping the domestic-competition thesis intact.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Sell

Price (24 Aug 26 15:00)	Rmb54.750
Target price	Rmb49.000
Expected share price return	-10.5%
Expected dividend yield	0.4%
Expected total return	-10.1%
Market Cap	Rmb69,771M US\$10,381M

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Figure 1. Envicool – quarterly results trend till 2Q26

Rmb mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Total Operating Revenue	745.6	966.9	1,159.2	1,717.1	932.6	1,640.6	1,452.9	2,041.7	1,175.3	1,841.4
Total Revenue	745.6	966.9	1,159.2	1,717.1	932.6	1,640.6	1,452.9	2,041.7	1,175.3	1,841.4
Other Operating Income (Financial)	-	-	-	-	-	-	-	-	-	-
Total Operating Cost	691.6	844.8	981.8	1,532.2	879.9	1,436.1	1,255.8	1,797.0	1,136.8	1,656.7
Operating costs	525.6	656.3	778.7	1,309.1	685.9	1,214.5	1,025.8	1,451.0	889.8	1,374.7
Business Tax and Surcharges	4.7	5.2	5.6	11.6	5.0	9.1	7.1	10.4	9.1	9.0
Selling Expenses	54.5	62.1	72.0	18.2	46.7	53.9	58.7	94.8	54.3	55.5
Management Fee	100.8	120.8	131.1	195.0	142.7	(39.4)	58.1	82.7	60.1	73.0
R&D Expense	65.2	78.0	83.2	123.3	93.4	102.5	101.6	148.5	103.4	123.2
Financial Costs	6.0	0.4	(5.6)	(1.7)	(0.3)	2.2	4.5	9.7	20.1	21.2
Assets Impairment Loss	(2.3)	(2.4)	(2.4)	(46.6)	(3.7)	(9.2)	(4.3)	(55.9)	(7.2)	(6.5)
Credit Impairment Loss	(5.1)	2.8	(1.1)	(45.4)	(7.5)	(21.4)	(0.8)	(63.9)	(30.2)	14.7
Other Operating Costs (Financial)	-	-	-	-	-	-	-	-	-	-
Non-Operating Revenue	-	-	-	-	-	-	-	-	-	-
Net Income from Fair Value Changes	0.0	(0.0)	0.1	0.2	-	0.1	(0.1)	0.1	0.3	(0.0)
Net Income from Investment	0.1	0.2	-	0.2	0.2	(0.0)	(0.2)	-	-	0.8
Net Exchange Gain	-	-	-	-	-	-	-	-	-	-
Other Non-Operating Revenue	17.0	12.6	15.8	21.3	(8.7)	(46.2)	(8.3)	(212.0)	(69.2)	21.9
Operating Income	63.8	135.3	189.8	114.6	54.9	188.8	194.2	152.4	6.3	215.7
Add: Non-Operating Income	2.4	2.1	2.0	3.7	2.0	4.6	2.0	1.6	1.6	3.3
Less: Non-Operating Expenditure	0.3	0.7	0.5	1.2	0.8	0.6	1.3	0.5	1.1	1.7
Including: Net Loss on Disposal of Non-Cu	-	-	-	-	-	-	-	-	-	-
Add: Gap of Total Profit(Special Account Titles)	-	-	-	-	-	-	-	-	-	-
Total Profit Gap (Account Titles to Be Bal	-	-	-	-	-	-	-	-	-	-
Profit Before Tax	65.9	136.6	191.2	117.1	56.1	192.8	195.0	153.5	6.9	217.3
Less: Income Tax	4.4	14.9	22.7	14.9	1.7	21.3	7.2	24.5	(7.3)	34.7
Add: Unacknowledged Investment Loss	-	-	-	-	-	-	-	-	-	-
Add: Gap of Net Profit (Special Account Titles)	-	-	-	-	-	-	-	-	-	-
Net Profit Gap (Account Titles to Be Balan	-	-	-	-	-	-	-	-	-	-
Net Profit	61.6	121.7	168.6	102.3	54.4	171.5	187.8	129.0	14.2	182.5
Less: Minority Interest	(0.4)	0.2	(0.7)	2.4	6.4	3.9	4.3	6.2	5.5	6.4
Net Profit Attributable to Parent Company Owne	62.0	121.5	169.3	99.9	48.0	167.6	183.4	122.8	8.7	176.1
YoY%	146.9%	81.9%	43.1%	-25.3%	-22.5%	38.0%	8.4%	23.0%	-82.0%	5.1%
Revenue	745.6	966.9	1,159.2	1,717.1	932.6	1,640.6	1,452.9	2,041.7	1,175.3	1,841.4
Gross profit	220.0	310.6	380.5	408.0	246.7	426.1	427.1	590.7	285.5	466.7
EBIT	86.8	148.4	200.0	134.2	45.9	144.8	190.4	(49.9)	(42.8)	258.8
Attributable Net Profit	62.0	121.5	169.3	99.9	48.0	167.6	183.4	122.8	8.7	176.1
Gross profit margin	29.5%	32.1%	32.8%	23.8%	26.5%	26.0%	29.4%	28.9%	24.3%	25.3%
EBIT Margin	11.6%	15.3%	17.3%	7.8%	4.9%	8.8%	13.1%	-2.4%	-3.6%	14.1%
Net Margin	8.3%	12.6%	14.6%	5.8%	5.1%	10.2%	12.6%	6.0%	0.7%	9.6%
Selling expense/Revenue	7.3%	6.4%	6.2%	1.1%	5.0%	3.3%	4.0%	4.6%	4.6%	3.0%
G&A/Rev	13.5%	12.5%	11.3%	11.4%	15.3%	-2.4%	4.0%	4.0%	5.1%	4.0%
Effective tax rate	6.6%	10.9%	11.9%	12.7%	3.1%	11.0%	3.7%	15.9%	-105.4%	16.0%
YoY										
Revenue	41.4%	35.9%	39.2%	17.9%	25.1%	69.7%	25.3%	18.9%	26.0%	12.2%
Gross profit	27.4%	38.5%	36.3%	-12.4%	12.1%	37.2%	12.3%	44.8%	15.7%	9.5%
EBIT	86.1%	103.0%	33.5%	-29.6%	-47.1%	-2.4%	-4.8%	-137.2%	-193.3%	78.7%
Attributable Net Profit	146.9%	81.9%	43.1%	-25.3%	-22.5%	38.0%	8.4%	23.0%	-82.0%	5.1%

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Figure 2. Envicool - forward PE chart



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Figure 3. Envicool - forward PB chart



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Shenzhen Envicool Technology

Valuation

We set our target price for Envicool at Rmb49, based on ~63x 2027E PE, which is about +3SD over its mean since its IPO at end-2016. Our PE target is at about a 100% premium over the weighted market-cap PE average of the A-share comps; we believe the premium is well justified due to Envicool's vertical integration and comprehensive product offerings, advanced technology backed by continuous R&D investments, long-standing relationships with major customers in China and overseas markets, and solid growth trajectory with 33% NP 3-yr CAGRs outlook thru 2028E. Most of Envicool's domestic rivals provide only certain parts with much smaller business scale and a lack of global leader certification.

Risks

Our quant model rates the Envicool stock High Risk, but we think it is unwarranted given the company's leading market position in China along with advanced technology leading the pack in the domestic market.

Upside risks that could cause the stock to trade above our TP: 1) stronger-than-expected market sentiment on AI boom, 2) better-than-expected GM in China and overseas, 3) more-than-expected profit contribution from Huawei new GPU, and 4) AI sector valuation further re-rating.

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Appendix A-1

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Shenzhen Envicool Technology
(002837.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	10-Jun-25 08:02:37	*1	*30.00	20.58
2	18-Aug-25 13:16:25	*3	*38.46	54.00

*Indicates Change

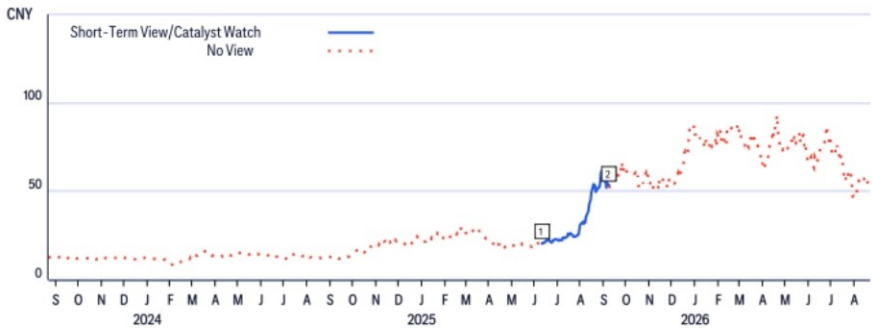
	Date	Rating	Target Price	Closing Price
3	20-Apr-26 14:04:42	3	*46.15	93.14
4	19-Jul-26 21:19:47	3	*49.00	61.57

Rating/target price changes above reflect Eastern Time

Shenzhen Envicool Technology
(002837.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jun-25 04:02:37	Add STV	Upside	90 Days	20.58

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	08-Sep-25 23:02:02	Remove STV	Upside	90 Days	53.18

Rating/target price changes above reflect Eastern Time

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